

HAVENBROOK FOODS CORPORATION

Form 10-Q
Quarterly Report for the Quarter Ended September 30, 2023

Commission File Number: 001-88888 (fictional, for development/testing only)

Item 2. Management's Discussion and Analysis

Net sales for the three months ended September 30, 2023 were \$58.2 million, compared to \$54.9 million for the same period in the prior year, an increase of 6.0%, driven primarily by pricing actions in our snack foods segment.

Net income for the quarter was \$4.1 million, compared to \$3.6 million in the prior-year quarter.

Condensed Consolidated Statements of Operations (unaudited)

(in millions)	Q3 2023	Q3 2022
Net sales	\$58.2	\$54.9
Cost of goods sold	\$36.9	\$35.4
Gross profit	\$21.3	\$19.5
Operating expenses	\$15.8	\$14.7
Net income	\$4.1	\$3.6

Note 4: Inventory

Inventories are stated at the lower of cost (first-in, first-out) or net realizable value. As of September 30, 2023, total inventory was \$19.8 million, consisting of \$8.1 million of raw materials, \$3.2 million of work-in-process, and \$8.5 million of finished goods.

Note 8: Subsequent Events

On October 12, 2023, the Company completed the acquisition of a regional snack foods brand for approximately \$14.5 million in cash, funded from existing cash on hand.